

CRYPTO BOOM

The Sudden Rise of Crypto and the Mainstream Evangelists

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Volatility has been one of the trademarks that cryptocurrencies have entailed since their begin-

ning. Makers of Bitcoin (BTC) and other cryptocurrency assets knew very well that there would be a rise in value as demand for these digital currencies eventually increases.

The on-going meteoric growth pushed Bitcoin's value from \$9,809.72 (on the 23rd of February 2018) to \$54,615.43 (on the 23rd of February 2021). But what's even more critical is the sudden rise of demand for crypto that started at the end of January 2021. Bitcoin, which was valued at \$30,606.18 on the 22nd of January 2021, reached the All-Time-High of the coin on the 22nd of February 2021 and recorded \$58,332.36.

THE EARLY-2021 CRYPTO BOOM

If these numbers confirm anything, the ongoing crypto boom is real and will impact the whole economic sector in a way never seen before. During these past weeks, more people have invested in cryptocurrencies. More importantly, we have seen the rise of mainstream evangelists, such as Elon Musk and Mark Cuban. Thanks to the position and influence of these people,

their involvement has impacted the size and breadth of this on-going crypto bull run.

Elon Musk or Mark Cuban did not offer market strategy advice. Instead, they shared their interest in investments in the crypto world. Soon after, thousands of investors, who were earlier apprehensive towards crypto investments, started trading crypto assets. Their actions were followed by warnings from many regulatory institutions and industry veterans. They characterized the boom as only a bubble and added that those who invest in Crypto Assets should be prepared to lose all their money.

Michael Burry, a veteran American investor, said that he sees the long-term future of Bitcoin as 'tenuous.' This duality in terms of expert advice makes us ask a few things. Is the 2021 crypto boom another bubble in the making? What does history tell us about the performance of Bitcoin and its value? What role do the mainstream evangelists play in the present and future of the cryptocurrency world? Answering these questions requires exploring a few aspects.

A CRYPTOCURRENCY BULL RUN

Although the 2021 crypto boom is when we saw Bitcoin price reaching All-Time-High, it is

not the first cryptocurrency boom in history. To look at that event, we should travel back to December 2017. Bitcoin followed a stable form of growth until then, reaching three-digit and four-digit values. On the 17th of December 2017, the cryptocurrency reached a whopping height of \$19,783.06, the then all-time high. Investors expected Bitcoin to keep growing and purchased BTC worth millions of USD.

On the following days, however, the market saw the other side of volatility. Within five days, on the 22nd of December 2017, the value of Bitcoin came all the way down to \$11,000. This was followed by a series of price depreciations, often due to regulatory decisions regarding the legitimacy of cryptocurrencies.

Almost a year later, on the 15th of November 2018, the price of Bitcoin was brought down to \$5,500, a huge blow for the thousands who invested in BTC.

It is worth noting that Bitcoin was not the only cryptocurrency impacted during the period. Investors started purchasing other cryptocurrency assets, thinking they could have the same fate as Bitcoin. However, as the big brother Bitcoin took a hit, most of these cryptocurrencies could not stand independently. This was also followed by what we know as the crypto bubble bust in 2018.